RISK MANAGEMENT PLAN

Project Title:	Mary's Consulting – New Company Website	Date Prepared:	May 19, 2026

Strategy

The project will use a **balanced risk strategy**: actively identify and mitigate threats that could impair the November 2026 Go-Live, while pursuing a moderate appetite for opportunities that improve scope or schedule. Risk responses are integrated into project planning rather than treated as a separate workstream.

Methodology

Risk management follows the PMBOK 8th-edition risk process: Plan → Identify → Analyze (qualitative + quantitative as needed) → Plan Responses → Implement Responses → Monitor. Tools include brainstorming, interviews, root-cause analysis, SWOT, the Risk Breakdown Structure (below), and a 5×5 Probability and Impact Matrix. The Risk Register is the master artifact.

Roles and Responsibilities

Role	Responsibility
Sponsor (Mary)	Owns project-level risk acceptance; approves use of management reserve; tolerates / escalates strategic risks.
Project Manager (Andrew)	Owns risk-management process; maintains Risk Register; facilitates identification & analysis; allocates contingency.
Risk Owners (per risk)	Each individual risk has a named owner (usually a team member); responsible for executing the response plan and reporting status.
Team Members (Bob, Bill, Christine)	Identify domain-specific risks; implement mitigations within their domain; raise emerging risks at weekly standup.

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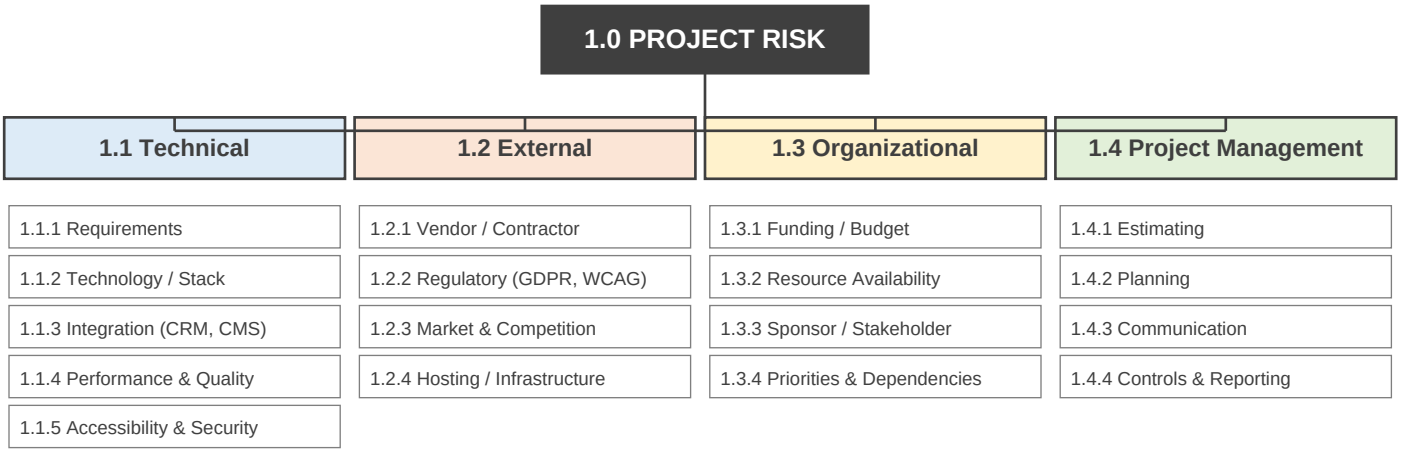
Risk Categories – Risk Breakdown Structure (RBS)

Hierarchical decomposition of risk sources for the project. Used during identification to systematically scan each category.



Risk Management Funding

Contingency reserve: $15,000 (≈10% of direct estimate) is held by the PM, allocated specifically to known risks identified in the Risk Register. The PM may release contingency without sponsor approval; usage is reported weekly.
Management reserve: $7,500 (≈5%) held by the Sponsor for unknown-unknowns. Use requires a formal change request and sponsor approval.
Risk-management activities themselves (facilitation, analysis, register maintenance) are absorbed in PM hours, not separately funded.

Contingency Protocols

• Contingency is allocated to specific risks in the Risk Register, not pooled.
• When a risk materializes, the PM may execute the documented response and draw against the contingency line item without further approval.
• Drawing > $5,000 in a single event triggers an immediate sponsor notification (not approval — notification only, since the funds were pre-approved).
• Unused contingency at project close is returned to the firm's general budget; it does **not** roll into scope expansion.

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Frequency and Timing

Identification: Continuous; formal review at the start of each phase (kickoff, design, build, test, launch, closeout).
Analysis: Newly identified risks analyzed within 5 business days.
Response planning: Mitigation plans drafted within 10 business days of identification for High and Critical risks; 20 days for Medium.
Monitoring: Top 5 risks reviewed at every weekly team standup; full Risk Register reviewed monthly with the Sponsor.
Audit: Formal Risk Audit at each phase gate to validate that risk responses are working and that the process itself is effective.

Stakeholder Risk Tolerances

Sponsor (Mary): Low tolerance for budget overrun (any spend > $150K cap requires formal approval). Medium tolerance for schedule slip (≤ 2 weeks acceptable). Zero tolerance for accessibility or security non-compliance.
Marketing Lead: Low tolerance for content-quality compromises; will accept timeline delay over publishing below-standard content.
IT / Hosting Operations: Zero tolerance for production stability risks; demands rollback plan for every cutover.
Legal / Compliance: Zero tolerance for GDPR or WCAG findings; escalates immediately.
PM: Authority to accept risks with combined exposure ≤ $5,000 without sponsor approval.

Risk Tracking and Audit

All risks are tracked in the Risk Register with a unique ID, category (per RBS), description, probability, impact, score, owner, response strategy, and status (Open / Mitigating / Closed / Realized). The Risk Register is version-controlled in the project SharePoint. A Risk Audit (using the firm's Risk Audit form) is conducted at each phase gate; findings are logged in the Lessons Learned Register.

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Definitions of Probability

Level	Probability Range	Description
Very High	> 70%	Almost certain to occur within the project timeframe.
High	50% – 70%	More likely than not to occur.
Medium	30% – 50%	Reasonable chance of occurrence.
Low	10% – 30%	Unlikely but plausible.
Very Low	< 10%	Improbable; only worth tracking if impact is severe.

Definitions of Impact by Objective

Level	Scope	Quality	Time	Cost
Very High	Loss of major deliverable	Unacceptable to sponsor	> 4-week slip	> $15,000
High	Major scope reduction	Major quality degradation	2–4 week slip	$7,500 – $15,000
Medium	Significant change required	Quality requires sponsor review	1–2 week slip	$3,000 – $7,500
Low	Minor scope adjustment	Quality acceptable to sponsor	< 1 week slip	$1,000 – $3,000
Very Low	Trivial / no scope impact	No noticeable quality impact	Days only	< $1,000

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Probability and Impact Matrix

Each risk is scored as Probability × Impact (1–5 scale). Higher scores demand more aggressive responses and earlier escalation.

Score	Risk Level	Required Response
16 – 25	Critical	Active mitigation required; escalate to sponsor immediately; weekly status to PM.
13 – 15	High	Mitigation plan documented within 10 days; weekly tracking; PM-managed contingency.
10 – 12	Medium-High	Mitigation plan within 15 days; bi-weekly tracking.
7 – 9	Medium	Mitigation plan within 20 days; monthly tracking.
4 – 6	Low	Monitor; respond if conditions change.
1 – 3	Very Low	Watchlist only; no action unless impact increases.